

Why? I asked a few dozen customers out of curiosity. Their response can be summarised as, “I don’t want to be a guinea pig for someone else’s benefit.” While this seems like a legit reason, there is some profound learning in it; and that is—nobody wants a product that is minimally viable.

Even you, for that matter, won’t prefer that just minimally viable product. Would you?

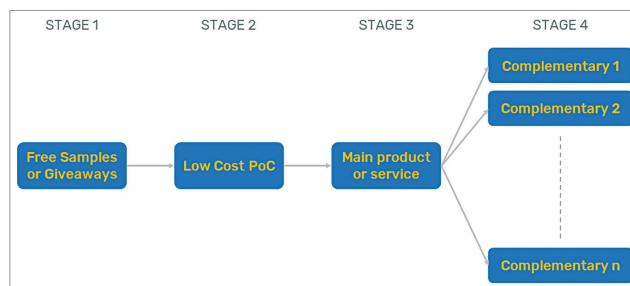
How to test your idea

Many entrepreneurs and small businesses grapple with a proper way to test their idea, sometimes unknowingly. They see a cold response to their MVPs and yet cannot reconcile their theory, hypothesis, and estimations with reality. Eventually, those who develop so-called MVP further into a product and go out in the market find a thread of hope. People respond better this time.

I have seen this first-hand with my company’s products and services. When we reached out to potential customers with just the MVP, we received polite appreciation. In some cases, there were a few comments and suggestions. But none were like good feedback would have gotten us.

The problem we eventually realised was that those customers couldn’t test our MVP in their environment as-is. Either it was too skinny from a functionality perspective, or it felt incomplete (which is what MVP is anyway) compared to a full-blown product.

So, for us to be able to test our ideas, we had to take a few extra steps. We would develop applications for our products and services that prospective customers could use. Let’s call them proof of concepts (PoC), but much more than the traditional PoC. With these PoC, customers were able to fully visualise how



Four stage product ecosystem

our products or services could fit into their own workflows or complement their products and services.

But you have to note one thing here. A PoC is better than an MVP by all means—by cost, by development time it takes, the resources it needs, and the functionality it needs to have to work properly. There is hardly anything that is ‘minimum’ here.

What if PoC costs more

Well, if a PoC costs more than the MVP, the best course of action is to stop treating PoC like a MVP—which it is not. A better way is to start looking at your products and services is to build a product ecosystem. As a part of that ecosystem, you can have something that is better than MVP and thus makes more sense for the customers to try and test.

It also means that you will have to treat them like one of the offerings instead of just some test samples. It raises stakes for your business as there has to be a full support system to back things up. But it also means two more things—first, you will be able to sell them, and second, you can expect better feedback than what you’d get with a bare MVP.

However, when I say product ecosystem, I don’t mean a bunch of different variants of your offerings. I mean several complimentary products and services that vary in form, function, and price.

Product ecosystem

By product ecosystem I mean a network of interdependent products and

services. These products or services are interconnected but are mutually supportive of each other. Some of the elements in this product ecosystem can include the main product itself along with complementary products and services that are known as accessories.

It also includes supporting infrastructure and the people and organisations that use and support the product. A simple example of supporting infrastructure could be app stores, service providers, repair services, and accessories like cases and chargers.

This is one aspect of a product ecosystem that mostly varies by form and function. However, from a pricing perspective, there is another way to look at it. Can you imagine how difficult it becomes if you have only one key product or service to sell? Negotiations are way tougher, and it directly affects margins.

The key reason why negotiations get tougher is the perspective gap in the value this main product or service delivers. Customers don’t have a clue about what it could be, or do, so they underplay it. We think it’s the best thing they could get, so we stick to our ground. As a result, the needle doesn’t move, unless someone backs down—which in most cases is your business.

I remember all our past negotiations and how we used MVPs to anchor the customers’ perspective each time. However, since their perception was totally different compared to our MVPs, it did not help. But all the PoC we delivered pegged us differently in the sales process as they had reasonably comparable points of reference.

And that brings me to the point that your product ecosystem needs to have PoC (you could give it a different name though) as an entry-level offering amongst other complementary items. Think of it as a more eco-